

ACCTG 211H — Mechanics Drill Set

Week 10 — Equity, EPS, and Stock-Based Compensation

Drill Set

Required: 1–5, 7, 8. Due Sunday March 28, 2027, 11:59 p.m. Eastern, after both class meetings. Graded for completion: attempt the required items yourself, check the key, and correct your work. No generative AI. Optional items: 6; optional items do not count toward completion or required assessment.

1. (*Issue stock above par.*) A firm issues 10,000 shares of \$1 par common stock for \$15 per share. Record the journal entry.
2. (*Treasury stock, cost method.*) The firm repurchases 1,000 of its own shares for \$18 each. Record the journal entry.
3. (*Cash dividend.*) A firm declares a \$0.50 per share cash dividend on 200,000 shares outstanding. Record (a) the declaration and (b) the payment.
4. (*Basic EPS.*) Net income is \$2,400,000, preferred dividends are \$200,000, and the weighted-average number of common shares outstanding is 1,000,000. Compute basic earnings per share.
5. (*Weighted-average shares.*) A firm has 800,000 shares outstanding on January 1 and issues 240,000 additional shares on July 1. Compute the weighted-average shares outstanding for the year.
6. **Optional.** (*Diluted EPS, treasury-stock method.*) A firm has net income of \$1,800,000 and 1,000,000 weighted-average shares. It has 100,000 options outstanding with a \$20 exercise price; the average market price is \$25. Compute diluted EPS.
7. (*Stock-based compensation expense.*) Assume equity classification, a single cliff-vesting service condition, straight-line expense, no forfeitures, no modification or remeasurement, and no taxes. A firm grants options with a total grant-date fair value of \$600,000 that vest after three years of service beginning January 1. Compute the annual compensation expense and record one year's entry.
8. (*RSU expense, partial year.*) Assume equity classification, a single cliff-vesting service condition, straight-line expense, no forfeitures, no modification or remeasurement, and no taxes. A firm grants 12,000 restricted stock units on July 1 with a grant-date fair value of \$30 each, vesting after four years of service beginning July 1. Compute the compensation expense for the first calendar year (July–December).